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16.11 Securities and Exchange Board of India (SEBI)

⇒ HQ- Mumbai भारतीय प्रतिभूति और विनिमय बोर्ड,

⇒ (1988) Formed by an executive order → (1992) Became Statutory Body → powers increased

through amendments in 1999 & 2014. Now it can order search and seizure, attachment of properties, arrest and detention. (खोज अभिग्रहण, संपत्तियों की जब्ती/कुर्की, गिरफ्तारी और निरोध)

⇒ **SEBI Board Composition:** Chairman + 1 officer from RBI + 2 officers from Union Government + some members appointed by Union Government.

⇒ **Chairman:** upto 5 years / 65 age. Reappointment possible. (Not compulsory for govt to give 5 year contract. Nowadays 3-3 years cycle.

⇒ SEBI Chief Selection was done by Financial Sector Regulatory Appointments Search Committee (FSRASC) headed by the Cabinet Secretary (IAS).

⇒ Regulates **Process** of issuing securities (Bonds, Shares, IPO, ETF, ReIT, INVITs, etc.) using the Securities Contracts Regulation Act, 1956 [SCRA: प्रतिभूति संविदा विनियमन]

⇒ Regulates **Places** (Depositories, Stock exchanges, Commodity Exchanges etc.)

⇒ Regulates **Persons** (Investors, Brokers, Fund Managers, Public Limited companies etc.)

⇒ Regulates any Collective Investment Scheme (**CIS**) of ₹100 cr/> [In the aftermath of SAHARA scam & Chit Fund scams. सामूहिक निवेश योजनाए]

⇒ **Further appeal**: Securities Appellate Tribunal (SAT) ⟶ Supreme Court.

- Same SAT also hears appeals against the orders passed by Insurance Regulatory Development Authority of India (IRDAI) and Pension Fund Regulatory and Development Authority (PFRDA).(More in Pillar#1D)

⇒ SEBI has "**SCORES**" online **portal** for investor-**complaint**. 2024- version 2.0 launched to give justice within 21 days of complaint.

⇒ SEBI has **Securities Market Trainers (SMARTs)** Program for investor education (निवेशक प्रशिक्षण)

⇒ **Saarthi** app: Sebi's app for investor awareness. (निवेशकों में जागृति के लिए सेबी का नया एप)

16.11.1 SEBI's New Chief IAS Tuhin Kanta Pandey

Sr.	Name, Qualification	Tenure
10th	Madhabi Puri Buch, IIM, ICICI-Banker	2022–25
11th	Tuhin Kanta Pandey, IAS	2025 se 3 yrs. Not typing mistake. It is 3 yrs.

16.11.2 SEBI Conflict of interest framework committee of Pratyush Sinha (2025)

- 2024: USA analyst Hindenburg alleged that the then SEBI chief Madhabi Puri Buch's husband had business ties with Adani. And therefore, Madhabi did not act strictly against Adani.
- 2025: SEBI formed Pratyush Sinha committee to prevent such conflicts of interest in the future.

16.11.3 Securities Markets Code Bill, 2025 (प्रतिभूति बाजार संहिता)

Before	After this bill
3 separate laws: - Securities Contracts (Regulation) Act, SCRA 1956, - SEBI Act 1992, - Depositories Act 1996	All merged into one single law: **Securities Markets Code** (३ कानूनों के विलिनिकरण से बनी संहिता)
SEBI board has total **9 members**: - 1 Chairperson, - 1 official from RBI, -2 officials from Ministry of Finance & Corp.Affairs Ministry; - 5 "**other members**" (appointed by Central Govt)	Increase "other members" from 5 ⟶ **11** Total SEBI members become **15** (सदस्यों की संख्या में बढ़ौतरी)

Before	After this bill
Less clarity (व्यक्तिगत/ पारिवारिक हितों का टकराव)	Stricter conflict of interest rules: - Board members must disclose family members' business interests. Member cannot take part in decisions related to that company.
Less clarity (शिकायत निवारण अधिकारी)	New independent **SEBI-Ombudsman** (just like RBI Ombudsman or Insurance Ombudsman)
Even minor offences can lead to jail	Minor offences **decriminalized** → only fine/penalty (no jail) छोटे गुनाहों में जेल नहीं जुर्माना।

16.12 SEBI INVESTOR CHARTER (निवेशक अधिकार पत्र)

⇒ (Definition) A citizens' charter (नागरिक अधिकारपत्र) is a document of commitments made by a government agency to the citizens in respect of the services being provided to them. e.g. if "X" problem is not solved in "Y" days then complain to "Z" officer on ABC Phone number / email address etc.

⇒ (Origin) Budget-2021: we'll create an "investor charter" (निवेशक अधिकार पत्र) for financial investors across all financial products (Share, Bond, derivatives, Commodities market etc).

⇒ SEBI notified this in 2021-November.

- This charter applies on Entities/actors e.g. investors, mutual funds, stock brokers, stock exchanges, depositories, underwriters, real estate investment trusts (REITs), infrastructure investment trusts (InvITS), & other collective investment schemes,
- This charter applies on Events e.g. initial public offerings (IPO), FPO, etc.

⇒ More details shifted to Mains-Handout. #RAFTAAR.

16.12.1 : SEBI: why protect investors & investors participation?



Figure 1: पूंजी बाजार की जड़ो को गहरा करना है तो सिर्फ अमीरों का नही, गरीबो की बचत का पैसा भी जाना चाहिए!

⇒ Share market scams erode publics' hard-earned savings → alcoholism, depression, suicide and other social ills. (जनता की बचत का पैसा घपले में बर्बाद तो जनता में शराब, अवसाद, आत्महत्या और अन्य सामाजिक बुराई)

⇒ Duped investors will shy away from share market & they may invest in gold / real estate = not very beneficial to economy as it our import-bill, creates black money opportunities.

⇒ If households don't participate in capital market → companies will have to approach the banks to get more loans. But banks' lending capacity is limited by CRR, SLR, PSL, NPA, PCA.(REF in Pillar#1B2)

⇒ If more retail investors participate in capital market = "Deepening of the capital market" → factory expansion, job creation, and economic growth. (खुदरा निवेशक की मदद से पूंजी बाजार की जड़ों की ओर गहरा करना- ताकि रोजगार सृजन और आर्थिक वृद्धि में मदद मिले)

16.12.2 💼🏃: measures to ⏫ retail investors participation- 25% public holding in Govt Companies

⇒ Budget 2019: For all the listed government companies, we will strive for minimum 25% public shareholding. (आम जनता को भी सरकारी कंपनियों के शेयर खरीदने का मौका मिले)

⇒ SEBI to raise minimum public shareholding in listed private sector companies to 35%.

⇒ 👻**ATMANIRBHAR:** minimum shareholding related norms deferred under Corona crisis.

16.12.3 😺 Yes! capital market has deepened says 📘ES25:

Matter	Before	2024-Dec
number of investors	4.9 crore (2020)	13.2 crore
Number of mutual fund account holders	2.9 cr (2021)	5.6 cr
Monthly avg investment in SIP	₹0.10 lakh crore	₹0.23 lakh crore
Number of IPOs listed	196 (2023)	>250
₹ mobilized from IPO	₹53,023 cr (2023)	₹1,53,987 cr
Indian IPOs as % of Global IPOs	17% (2023)	30%

- SIP = Systematic Investment Plan.
- Higher investor participation = demand for shares increase = SENSEX goes up = more investors get attracted to join.
- Indian families' investments in Indian sharemarket has increased by over ₹40 lakh crore in the last five years.

16.12.4 😿 Debt/Bond market, not fully developed laments 📘ES25:

Parameter	India 🇮🇳	China 🇨🇳	Korea 🇰🇷
Corporate Bond Market (% of GDP)	18%	36%	80%

- Insurance and pension companies cannot invest in bonds that are lower than AA-rated. (due to regulations by IRDAI and PFRDA)
- most of the manufacturing companies do not have AA or better rating. So, they struggle to find investors in Bond market.
- 60% of bonds are issued by Bank and NBFCs. (because other type of companies will struggle to find investors)
- Secondary market in bonds is under-developed / not enough buyers available. So bond-assets are not 'very liquid'.

16.12.4.1 📡 Bond Central Portal to 1-stop info on all bonds (2025)

- To create a central database of all the corporate bonds to help investors find authentic info.
- Boss? SEBI launched it. Portal developed by Online Bond Platform Providers (OBPP) Association, with help of Market Infrastructure Institutions (MIIs- such as stock exchanges and depositories.)

16.12.5 🚪🟢 SEBI's SWAGAT FI window for low-risk FPIs (2025)

FPI = upto 10% shareholding by foreigner in Indian companies.

FDI = more than 10%. (Ref: Pillar#3A for more)

Before	After SWAGAT-FI window / reform
FPI registration valid for 3–5 years.	increased to 10 years for low-risk FPIs and Foreign venture capital companies.

- **Benefit?** Attracting more investment to India.
- **SWAGAT-FI** = Single Window Automatic and Generalised Access for Trusted Foreign Investors

16.13 FSDC: Financial Stability & Development Council (2010)



Figure 2: अभी भी इतने सारे "कांड" क्यो हो रहे है, गवर्नर साहब?- वित्तमंत्री @FSDC meeting.

⇒ **Functions?** Supervision of the economy & large financial conglomerates, coordination among the financial regulators, financial literacy and financial inclusion. (*वित्तीय स्थिरता और विकास परिषद*)

⇒ Chairman – Finance Minister. Other members : Minister of State (Finance),

- heads of all other financial sector regulatory bodies (e.g., RBI, SEBI, IRDAI, PFRDA and IFSCA-ref Pill3 gift city),
- Secretaries (IAS) of the departments of (i) Economic Affairs, (ii) Expenditure, (iii) Financial Services, (iv) Revenue, (v) Ministry of Corporate Affairs and (v) Ministry of Electronics and Information Technology
- Chief Economic Adviser (CEA)

⇒ Secretariat assistance by: FinMin → Dept. of Economic Affairs (आर्थिक मामलों का विभाग)

'Financial Stability and Development Council': find correct statement(s): *(Pre-2016)*

1. It is an organ of NITI Aayog.
2. It is headed by the Union Finance Minister
3. It monitors macro-prudential supervision of the economy.

Answer Codes: (a) 1 and 2 only (b) 3 only (c) 2 and 3 only (d) 1, 2 and 3

16.14 Bodies with similar sounding names: FSB, FATF

FSB (2009) HQ: BASEL	- Financial Stability Board is a brainchild of G20. (वित्तीय स्थिरता बोर्ड) - **Functions?** Financial monitoring at global level, Coordination between national financial regulators bodies. (अलग-अलग देशों के वित्तीय नियंत्रक के बीच तालमेल) - India has 3 seats in FSB: 1) Secretary of Department of Economic Affairs (IAS) 2) Dy. Governor of RBI 3) SEBI chairman
FATF (1989) HQ: Paris	- Financial Action Task Force (वित्तीय कार्रवाई कार्यदल) is a brainchild of G7. - India member in 2010. **Function?** Combating Money laundering and terror finance. (*More Pill#2) (धन शोधन और आतंकी वित्तपोषण से लड़ना)*
IOSCO	- International Organization of Securities Commissions (IOSCO) is the international body of world's securities regulators. SEBI is a member. - Famous for its **IOSCO Guidelines** for Investors Protection & risk prevention

16.14.1 📊 Financial Sector Assessment Program (FSAP)by WB & IMF

is the quinquennial (5–5 years) survey jointly conducted by the IMF and the World Bank.
2011–12: first FSAP survey for India conducted.
[**Note: This is given in 📕ES24 so i pasted, else I don't waste pages like this.**]

16.14.2 🏛️👩🏛️NISM- capacity building for financial market professionals - 👛Budget-2023

⇒ National Institute of Securities Markets (NISM) is an educational institute set up by SEBI. HQ: Mumbai, Foundation Year-2006

⇒ 👛Budget-2023: NISM to conduct more training courses for financial Market

⇒ NISM will give them degrees, diplomas and certificates for finishing such courses

16.14.3 📊 FSAP Survey by IMF & World Bank (2025)

Year	2017	2024
Indian Capital Markets Size (% of GDP)	144%	175%

- Financial Sector Assessment Program (FSAP) survey by IMF & World Bank.
- Indian banks and NBFCs possess adequate capital buffers even under severe stress scenarios.

16.14.4 👛Budget-2026 on Bonds & Sharemarket

- If ULBs (Urban Local Bodies) issue Municipal Bonds, Union to give them bonus of ₹100–200 cr
- CPSEs (Sarkaari Companies)' Real estate assets to be monetized via REITs.
- Tax hike on F&O derivatives but (Ref: Pillar#2A-Taxation)

16.14.5 🔎👩‍⚖️ NSE is a public authority under RTI Act, says Delhi HC

- RTI Act says any body that is "owned, controlled, or substantially financed" by the government is a 'public authority'.
- NSE defended, "We are private sector Company, but Delhi High Court ruled, NSE is deeply regulated by SEBI. (ii) Securities Contracts (Regulation) Act, 1956 allows govt to take control/management of NSE e.g. if there is scam. Therefore, RTI is applicable to NSE.

16.15 Pillar 1C3: Corporate Governance

16.16🏙️👨‍💼 Company types

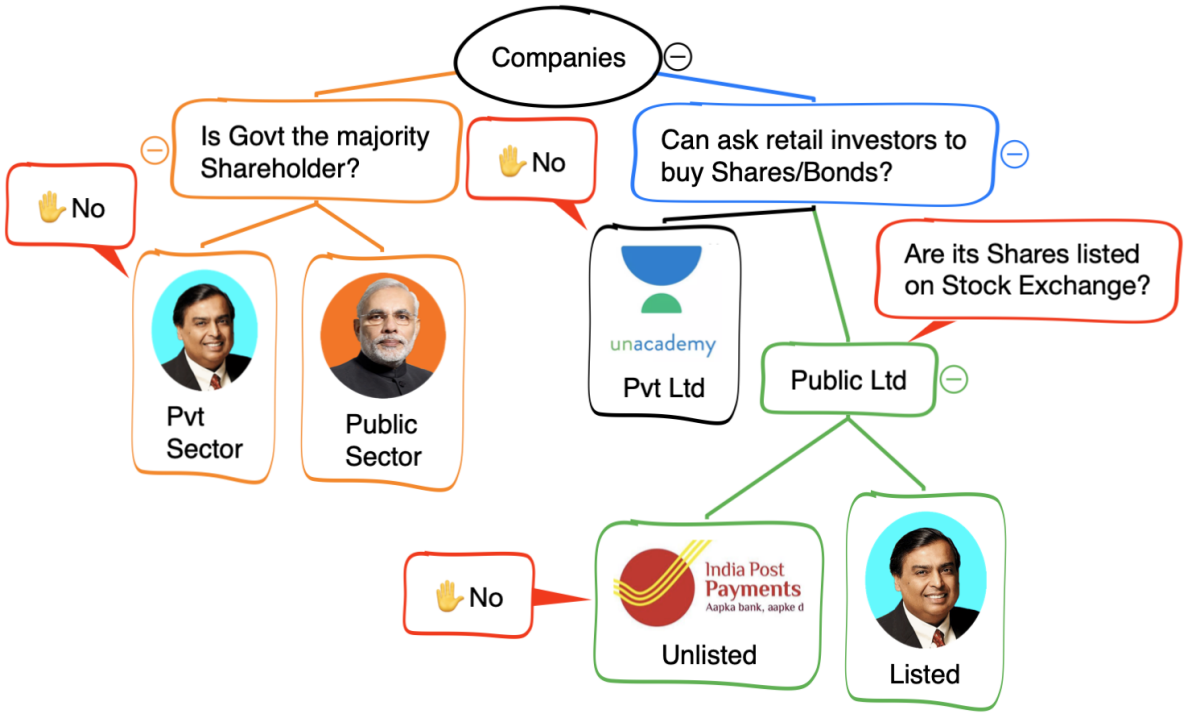
16.16.1 👶Company types based on incorporation

👸Chartered Companies	Setup by a charter given by a king / queen. E.g. East India Company in 1600. (चार्टर्ड कंपनिया)
⚖️Statutory Companies	Setup by special acts of Parliament or State legislature. E.g. RBI, LIC, SBI. (वैधानिक कंपनिया)
✒️Registered Companies	Registered under the Companies Act, 1956 (and later 2013) e.g. Tata Motors, Infosys. (पंजीकृत कंपनिया)

16.16.2 🏙️👨‍💼 Company types based on number of members

	Private ltd.	Public Limited Company (Companies Act 2013)
Members	Min. 2 to Max. 200	Min. 7 to Max. unlimited number (depending on how many shares issued & purchased by the people)

	Private ltd.	Public Limited Company (Companies Act 2013)
can they invite public at large, to buy shares /bonds?	Can't	⇒ A public ltd. company can invite public at large, to subscribe to its shares and bonds. ⇒ If their shares are listed on a stock exchange (BSE, NSE etc), it's a '**Listed Public Limited Company**' (e.g. Reliance), else it's an '**Unlisted Public Limited Company**' (e.g. India Post Payment Bank : IPPB)
Directors (Min-Max)	2-15	⇒ Min 3 to Max 15. out of them one must be Indian Resident, 1 must be Woman and 1/3rd of the directors must be independent directors. ⇒ Independent directors are persons without any pecuniary interest in company, they are supposed to protect minority shareholders' interests. (अल्पसंख्यक शेयरधारकों के हितों की रक्षा करने के लिए स्वतंत्र डायरेक्टर)
Term limit	N/A	Their directors have age limit, term limit.
Corporate Governance Norms	Norms either not applicable or relaxed. UPSC-CSE≠CA	Companies Act requires them ⇒ to hold specific number of annual meetings of board of directors, norms for quorum, mechanism for e-voting, ⇒ have to appoint Company Secretary, ⇒ Implement mechanism for protecting whistleblowers And so on…



FAQ: How can pvt limited company have shareholding?

⇒ Ans. They can ask friends and family, venture capital funds, angel investors and other type of investors to invest in the company. They cannot put an advertisement in the newspaper that we

are inviting the public at large to buy our shares. IF they want to invite public at large, → they need to convert registration from private limited company to public limited company.

⇒ Companies usually start as originally as private limited companies. e.g. Infosys (private ltd) in early 80s → when their business grows and they want more capital they will convert into public limited companies. → they will issue shares for the first time for the public at large → so we call it Initial Public Offer (IPO) e.g. same infosys (public ltd) in early 90s launched IPO..

⇒ In future same public ltd. company may also require more capital so again they will issue more shares for the the second time, third time etc. → then we call it Follow on Public Offer (FPO)

16.16.3 Company types based on Ownership

Government / Public Sector / सार्वजनिक क्षेत्र	Private Sector / निजी क्षेत्र की
When Government owns 51%/> shares. Examples: Steel Authority of India (SAIL), India Post Payment Bank (IPPB)	When private parties own 51%>. E.g. Reliance, Tata, Adani
Holding Company / नियंत्रक कंपनी A company that owns majority shares in another company. E.g. Tata Sons ltd. holds majority shares of Tata Consultancy Services (TSC), Tata Steel, Tata Sky etc.	**Subsidiary Company** / नियंत्रित कंपनी A company that is controlled by a parent holding company. E.g TCS, Tata Steel, Tata Sky are subsidiary co of Tata Sons.

16.16.4 Company Types: Misc.

Under Companies Act	⇒ **One Person Company**: special type of private ltd company having only one member. Budget-2021: One Person Companies (OPCs)- Legal reforms in Companies Act to [1) allow NRIs to easily register OPC in India [2) OPC can be converted to other types of companies any time ⇒ **Not for Profit Company:** e.g. GSTN, NPCi etc. their profit is re-invested in business expansion. They get certain tax benefits & relief in how frequently they've to submit data to MCA. (लाभ-रहित कंपनी, जो कंपनी मुनाफे के लिए नहीं बनाई गई) ⇒ **Dormant Companies:** A) setup to start business in future B) setup to store intellectual property C) not filled annual returns for two consecutive years. (निष्क्रिय/सुप्त कंपनी)
Under LLP Act 2008 सीमित देयता भागीदारी अधिनियम	⇒ Limited Liability Partnership (LLP) Company is formed by minimum 2 or more partners. ⇒ Individual partners are shielded from joint liability created by another partner's wrongful business decisions or misconduct. E.g. Vajiram and Ravi IAS Study Centre LLP ⇒ LLP's registration fees, auditing/reporting norms, tax liabilities, winding up process etc. are more flexible than a (public or pvt) ltd. company registered under Companies Act. उनके लिए नियमो में रियायत/आसानी होती है।
Under Indian Partnership Act 1932	⇒ A Partnership firm is formed by minimum 2 or more partners. ⇒ Each partner is liable jointly with all the other partners for losses, wrongful biz. decisions and misconduct.

16.16.5 🏙️👨‍💼 Corporate Governance → Small Companies given compliance relief

⇒ 💼Budget-2021: Companies with paid up capital not more than ₹2cr & annual turnover not more than ₹20cr = treated as 'Small Companies'.

⇒ They'll be given relief in Companies Act related compliance e.g. how frequently they've to submit accounts and ownership related documents to the Ministry of Corporate Affairs etc.

16.16.6 🏙️👨‍💼 Commercial Organizations: Other Types

PSU, CPSE	Ref: Pillar2: Disinvestment
MSME	Ref: Pillar1D: financial inclusion, Pillar4B
Startups	Ref: Pillar4B

16.16.7 👫🤝👨 Corporate Governance → LLP settlement Scheme 2020

Faded topic. Deleting from handout

16.17 🔨 Statutory bodies in Ministry of Corporate Affairs (MCA)

16.17.1 🔨👨⚖️ Competition Commission of India (भारतीय प्रतिस्पर्धा आयोग)

⇒ Competition among companies= consumer gets goods and services at the most competitive / affordable prices. कंपनियों के बीच स्पर्धा होगी तभी तो ग्राहक को अच्छी सेवा और किफायती दाम में चीजे मिलेंगीं

⇒ Therefore, government must prevent cartelization (price fixing or production fixing by a group of Companies), prevent monopoly (single company commanding the production / supply), protect consumers' interests and ensure freedom of trade.

⇒ 1970: Monopolies and Restrictive Trade Practices (**MRTP**) Act.

⇒ Later MRTP Act replaced with Competition Act, 2002- which has a statutory regulator Competition Commission of India (CCI: 1 Chairman + 6 Members)

⇒ In past, CCI has imposed penalties on cement companies, real estate companies. It is also investigating Airtel, and other telecom companies for alleged cartelization.

⇒ Competition (Amendment) Bill, 2022 to increase CCI's powers further. But mostly technical so I'm avoiding it for Poor cost:benefit.

⇒ Appeals against CCI are heard by National Company Law Appellate Tribunal (NCLAT)

16.17.2 Google pe Penalty by CCI

Refer to Pillar4B: service sector.

16.17.3 🔨👨⚖️ Insolvency and Bankruptcy Board of India (IBBI)

This too is a statutory body under the Ministry of Corporate Affairs (MCA). Read Pillar#1B-2: NPA

Table 1: Bodies under Companies Act 2013

Features	National Company Law Tribunal (NCLT)	National Financial Reporting Authority (NFRA)	Investor Education & Protection Fund	Serious Fraud Investigation Office (SFIO)
	राष्ट्रीय कम्पनी विधि अधिकरण	राष्ट्रीय वित्तीय प्रतिवेदन प्राधिकरण	निवेशक एवं शिक्षा रक्षण कोष	गंभीर धोखाधडी अन्वेषण कार्यालय
Members	Judicial + technical. They've benches @Delhi, Kolkata, Jaipur etc.	Chairman + members	Boss: Corp. Affairs Secretary (IAS). Members from RBI, SEBI,	Civil servants & financial experts

Features	National Company Law Tribunal (NCLT)	National Financial Reporting Authority (NFRA)	Investor Education & Protection Fund	Serious Fraud Investigation Office (SFIO)
			financial experts	
Appeal	NCLAT (Appellate tribunal)	NFRAA (Appellate Authority)	Regular Courts	Regular Courts
Cases	Hear the cases related to Companies Act, Board room battles, Merger-Acquisition, Corporate Insolvency & Bankruptcy (I&B)	Sets standards for Auditors & (CA), in listed companies and large unlisted companies. If malpractices-> investigate and debar them, Powers of civil court.	They use unclaimed money from shares/bonds for financial literacy and awareness	Investigate white-collar (financial) frauds. Powers to search, seize, arrest. Once SFIO gets case, other agencies (like CBI) can't proceed.

16.17.4 Unclaimed shares and dividends of IEPF & 👛Budget-2023



Figure 3: Image source: Agnipath (2012)

Investor Education & Protection Fund Authority (IEPF) is a statutory body in Companies Act, 2013.

⇒ Secretary (IAS) of Ministry of Corporate Affairs is the ex-officio chairman of this IEPF body.

⇒ IEPF looks after the unclaimed shares, bonds, dividends, interest etc.

⇒ IEPF uses such money for investor awareness.

⇒ 👛Budget-2023: if a person wants to 'reclaim' the unclaimed shares and unpaid dividends from IEPF → we'll setup an IT portal to help him file such application.

16.17.5 🔨👨⚖️ Ministry of Corporate Affairs also associated with:

Chartered Accountants Act 1949	Regulates the CA profession through a Statutory body: Institute of Chartered Accountants of India (ICAI). ICAI also has IPA status under I&B Code.
Company Secretaries Act, 1980	Statutory Body: Institute of Company Secretaries of India (ICSI). Also has IPA status. REF (More in 📄Pillar#1B2)
Cost and Works Accountants Act, 1959	Statutory Body: Institute of Cost Accountants of India (ICAI). Also has IPA status. What does it mean? REF (More in 📄Pillar#1B2)
Legislative Responsibilities of MCA	⇒ 1860: Societies Registration Act- for registration of literary, scientific and charitable societies. E.g. Sahitya Akademi, National School of Drama etc. जो मुनाफे के लिए नहीं लेकिन कला साहित्य

	विज्ञान के प्रसार के लिए बने ⇒ 1932: Partnership Act; Companies Act 1956 → 2013. ⇒ 2008: Limited Liability Partnership Act
E-governance initiatives of MCA	⇒ INC-29 online form to registration of new company. Later it was replaced with **Simplified Proforma for Incorporating Companies (SPICe)** online form. ⇒ **MCA-21** portal, where companies can file online documents related to Companies Act compliance. MCA21 Version 3.0= this latest Version 3.0 portal will have additional modules for e-scrutiny, e-Adjudication, e-Consultation and Compliance Management.
Officers	Indian Corporate Law service (**ICLS**) via UPSC CSE-exam

16.17.6 Companies Act: EoD- Central Data Processing Centre in 👛Budget-2023

⇒ In the past, Ministry of corporate affairs had launched many E-governance initiatives that helps the company to register and upload documents. Example MCA21, SPICe, SPICe+ etc. How do they work? What exactly do they do? NOT.IMP

⇒ 👛Budget-2023: well - setup Central Data Processing Centre for faster processing of various forms filled by Companies under the Companies Act. How Exactly? Not.IMP

⇒ 🤩Benefit? Ease of doing business for the companies.

16.18 🤼‍♂️ Corporate Governance (कॉर्पोरेट शासन)

Shifted to Mains-QEP. Basically deals with how to ensure that company is run without any scams/scandals.

⇒ Companies Act has various provisions for it. E.g.
⇒ Term limits on board of directors, Reservation for women directors.
⇒ provision for independent directors to protect minority shareholders,
⇒ How many companies can one Chartered Accountant audit?
⇒ Protection for whistleblower, company secretary etc.
⇒ SEBI can also issue some directives. E.g. splitting CMD post.
⇒ Notable committee for improving corporate governance in India: Uday Kotak (2017).

What does above things mean? Ans. shifted to Mains Handout.

16.18.1 💰(🏥🚽)CSR: Corporate Social Responsibility (कॉर्पोरेट सामाजिक जिम्मेदारी)

कंपनी ने अपने मुनाफे का कुछ हिस्सा समाज कल्याण में लगाना होगा

- Mandated under Companies Act 2013: Last 3 years' avg. profit → spend 2% of that on CSR (education, environment, public health, sanitation, disaster management etc.)
- Applicable on both public ltd and private ltd. with very huge profit / turnover / networth ~~*(what's the difference between these terms, what's the exact figure? Ans. NOTIMP.)*~~
- Ministry of Corporate Affairs (MCA) gives National CSR Awards to companies.

🔠***MCQ. Find correct about CSR :(Pre'24-Set-C-Q60)***

1. CSR rules specify that expenditures that benefit the company directly or its employees will not be considered as CSR activities. (2) CSR rules do not specify minimum spending on CSR activities.

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Note to Wakil-Babushone: CSR says spend 2% profit = so yes there is minimum spending rule. But some candidates became WAKIL ke CSR doesn't say minimum ₹5000 or ₹25000 so st2 is correct. But as per official UPSC answerkey st2 is wrong bcoz CSR specifies min 2% of profit spending. So life lesson: don't read Economy MCQ statement like an **argumentative** lawyer.

16.18.2 👫 NSE Prime regulation for corporate governance (2022)

- National Stock Exchange has developed this voluntary framework.
- It has a set of higher standards of corporate gov. for Companies listed on NSE stock exchange.

🔠 ***MCQ: 'NSE Prime', sometimes mentioned in news, denotes: (UPSC-EPFO-2023)***

(a) A high standard corporate governance initiative (b) Long-duration Sovereign Green Bonds

(c) Concessions and tax-holidays for hi-tech startup companies

(d) Special privileges for certain categories of Non-Banking Financial Institutions

16.18.3 ☘️ Business Responsibility and Sustainability (BRSR) by SEBI

- 2012: SEBI introduced Business Responsibility Report (BRR)
- 2021: BRR evolved into Business Responsibility and Sustainability (BRSR).
- Top-Listed companies are required to disclose non-financial performance data such as employee well-being, environmental conservation, protection of human rights, etc.

🔠 ***MCQ. Find correct about Business Responsibility and Sustainability (BRSR) (Pre'25)***

- *I. RBI mandates all the listed companies in India to submit a BRSR Report.*
- *II. In India, a company submitting a BRSR makes disclosures in the report that are largely non-financial in nature.*

Codes: (a) I only (b) II only (c) Both I and II (d) Neither I nor II

16.19 👊🧿 Takeover related terms

- Sometimes in news because of the Elon musk purchase of Twitter ("X"). - We will not DO to the actual B.Com/MBA aspect of it. - We will get a very vague only, with some examples.

Friendly Takeover	Hostile Takeover
When board of director approve selling the company to another company.	where a person takes control of another company (the target company) without the consent of the target company's board of directors.
e.g. Ranbaxy sold to Sunpharma	e.g. How Elon Musk acquired Twitter ("X")

16.19.1 👊🧿 Leverage Buy-Out (LBO)

- e.g. Elon Musk borrows money to takeover/acquire majority shareholding in Twitter ("X").
- Note: in real life, it is more complex, but we will not prepare MBA/B.Com here.

16.19.2 👊🧿🐍 Poison Pill against Takeover by Twitter

- it is a strategy adopted by a Company (Twitter) to defend itself against hostile takeover (By Elon

Musk). Generally involves giving extra shares to existing shareholder to make % shareholding composition unfavorable to new buyer who is trying to take over (Musk). HOW?NOTIMP

16.19.3 ☝ De-Merger When a company subdivided into multiple companies.

BEFORE → →	AFTER De-merger
1) ITC (Hotel, Cigarettes, FMCG[##]	1) ITC (Cigarettes, FMCG) 2) ITC (Hotel)
1) TATA Motors → →	planning to divide into (1) truck (2) cars & EV

[##]FMCG = Fast Moving Consumer Goods e.g. soap, shampoo, toothpaste, potato-chips etc.

16.19.4 💪🤞 Mock Questions for Mains

Mostly around measures for deepening the capital market, corporate governance, sovereign gold bond etc instruments, investor's charter etc. This handout deals with ONLY Prelims #RAFTAAR.

📄Next Handout: 1D: Insurance, Pension, Financial Inclusion